

694a99ab1267c03a614

a. But how do you use it wisely?

The key to using credit cards wisely is pretty simple:

1. Use it as a Cash Replacement:

Think of your credit card as a cash replacement, not free money! Whenever you're about to spend, ask yourself, "Would I pay for this with cash or a debit card?" If the answer is yes, then using your credit card is safe. Always stay within your regular budget. Don't go wild just because you have a credit card.

2. Pay Your Bill in Full:

When paying your credit card bill, you have two options: pay the whole thing or pay the minimum due. Here's the deal – if you choose to pay only the minimum, you'll get slapped with sky-high interest on the remaining amount. You also won't get that interest-free period for the next billing cycle. So always pay your bill in full.